

MORNING BRIEFING — 29 MAY 2026

Friday | London pre-open | Generated ~06:00 BST | Data collected: 05:30–06:00 BST, 29 May 2026

2. IMPORTANT NEWS

US and Iran tentatively agree to 60-day ceasefire extension and nuclear talks

[Axios / CNBC / Babypips](#), 28 May 2026

Mid-session report of deal sparked broad risk-on shift. Treasury Secretary Bessent declined to confirm; Trump's three red lines (Strait reopening, HEU surrender, end nuclear programme) remain non-negotiable. Confirmation or rejection is the dominant weekend wildcard.

S&P 500 and Nasdaq close at fresh all-time highs — S&P 7,563 / Nasdaq 26,917

[TheStreet / CNBC](#), 28 May 2026

Tech continued to lead despite a hot PCE print. Markets are discounting near-term inflation risk and focusing on ceasefire-driven disinflation via lower energy prices. Sets a constructive tone but European futures are pointing lower on Friday.

US PCE inflation hits 4.5% in Q1 2026 — highest in nearly three years; core PCE 4.3%

[BEA / TheStreet](#), 28 May 2026

Released alongside GDP 2nd estimate (Q1 2026 revised to 2.0% vs 2.3% consensus). Stagflationary combination of slowing growth and accelerating inflation complicates Fed path. NY Fed's Williams said policy is "well-positioned" — no cut imminent.

European corporate bond market hits record — 34 issuers, 43 tranches, ~€31bn in May alone

[Athens Times / HSBC DCM commentary](#), May 2026

Airbus priced its first bond in nearly six years. iTraxx Main dropped to lowest since 17 April. Funding window fully open; investor appetite described as strong. Window could narrow if Iran deal collapses and spreads widen.

Fresh US strikes reported on Iranian military site cloud ceasefire outlook

[Reuters / BabyPips](#), 28 May 2026

Report hit during Asian hours and briefly reversed risk-on move. Silver dropped below \$74 on the news. Markets remain highly event-sensitive to any headline from the Strait of Hormuz.

3. EUROPEAN FUTURES — PRE-OPEN

Data approximate: 05:30 BST. Both Euro Stoxx 50 and Stoxx 600 futures pointing down ~0.8%, reflecting month-end position squaring and Iran headline risk.

CONTRACT	IMPLIED DIRECTION	EXPECTED MOVE	NOTE
Euro Stoxx 50	Lower	≈ -0.8%	Broad European selling
Stoxx 600	Lower	≈ -0.8%	Most sectors negative
DAX (Frankfurt)	Lower	n/a	Thursday closed +0.19% — may give back gains
CAC 40 (Paris)	Lower	n/a	Thursday closed lower
FTSE 100 (London)	Lower	n/a	Thursday -0.01%, energy exposure a risk
S&P 500 (context)	Slightly lower	n/a	US futures flat/slightly negative pre-European open
Nasdaq (context)	Slightly lower	n/a	Following overnight Asia risk-off

4. YESTERDAY'S CLOSURES — 28 MAY 2026

INDEX	CLOSE	CHANGE	% CHANGE	COMMENT
Euro Stoxx 50	6,055	-18	-0.30%	Iran headlines weighed on broad EU
Stoxx 600	n/a	—	-0.50%	Most sectors in negative territory
DAX (Frankfurt)	25,233	+48	+0.19%	Marginal outperformer vs peers
CAC 40 (Paris)	n/a	—	Lower	Paris closed lower with broad EU
FTSE 100 (London)	10,490	-1	-0.01%	Nearly flat; energy support offset by Iran risk
FTSE MIB (Milan)	n/a	+	+0.50%	Outperformer; Italian domestics led

Source: CNBC European markets wrap, 28 May 2026.

5. US MARKETS — SESSION 28 MAY 2026

INDEX	CLOSE	CHANGE	% CHANGE
S&P 500	7,563.63	+43.8	+0.58%
Dow Jones	50,668.97	+25.3	+0.05%
Nasdaq Composite	26,917.47	+243.9	+0.91%

Session tone: Bullish, tech-led. Both S&P 500 and Nasdaq closed at all-time highs despite hot PCE inflation reading released pre-open. Session was whipsawed mid-day by Iran ceasefire extension report (Axios), which triggered a risk-on surge. Treasury Secretary Bessent declined to confirm the deal; markets largely held gains.

Leading sectors: Technology +1.47% (semiconductors NVDA, AVGO drove gains), Consumer Discretionary positive.

Lagging sectors: Energy -1.52% (Iran ceasefire expectation weighing on oil), Utilities -1.13%, Financials -0.28%.

Key takeaway: Markets are looking through near-term inflation data and pricing in Iran de-escalation. PCE at 4.5% is a risk to this thesis if the ceasefire falls through.

Source: TheStreet / CNBC, 28 May 2026.

6. ASIAN MARKETS — OVERNIGHT SESSION (28-29 MAY 2026)

INDEX	CLOSE	% CHANGE	COMMENT
Nikkei 225 (Japan)	64,693	-0.47%	Topix -0.41%; Japan equities softened
Hang Seng (HK)	n/a	-1.38%	Sharp drop in last hour; Iran headlines
CSI 300 (China)	4,914	+0.12%	Pared early losses; mild outperformer
Kospi (South Korea)	8,185	-0.53%	Kosdaq -2.54%; small-caps hit hard

Tone: Mostly lower. US all-time highs provided limited support; fresh US airstrikes report on Iran during overnight hours renewed risk-off pressure. Hang Seng was the clear underperformer. Korea's Kosdaq drop of 2.54% suggests elevated risk aversion among retail-heavy small-cap traders. CSI 300's small gain shows China mainland insulated from Iran-direct risk.

Source: CNBC Asia markets wrap, 28 May 2026.

7. COMMODITIES

COMMODITY	PRICE	UNIT	DAILY CHANGE	COMMENT
Brent Crude	\$96.57	USD/bbl	+2.41%	Elevated; Strait of Hormuz closure sustaining premium
WTI Crude	~\$92-93	USD/bbl	Positive	Tracking Brent; ceasefire news capped rally
Gold	\$4,445	USD/oz	-0.42%	Eased as Iran ceasefire talks lifted risk appetite
Silver	\$74.26	USD/oz	-0.91%	Touched 4-week low on fresh US strike report; industrial demand softer
Copper	\$6.39	USD/lb	+1.28%	+37.7% YoY; AI/electrification demand narrative intact; up 8.7% past month
Nat Gas (Henry Hub)	~\$2.63	USD/MMBtu	Negative	5-month low; shoulder season demand lull; mild domestic conditions
TTF (European Gas)	n/a	EUR/MWh	Elevated	+48% since Iran conflict began Feb 2026; key European risk

Source: Trading Economics, Fortune, AGA, Carbon Credits, 28 May 2026.

8. RATES & FX

INSTRUMENT	LEVEL	CHANGE	COMMENT
US 10Y Treasury yield	4.47%	Lower	Retreated sharply from 16-month high of 4.70% on 20 May; energy disinflation expectation
German 10Y Bund yield	2.97%	Higher	Rebounding from 6-week low; Middle East unrest and Brent rebound driving move
EUR/USD	1.1651	+0.22%	Dollar softening on ceasefire hopes; EUR supported
GBP/USD	1.3369	-0.25%	Sterling weakest level of week; low of 1.3369 vs high of 1.3509 on Mon
DXY (US Dollar Index)	99.28	+0.06%	Marginally firmer; near psychologically key 100 level

Source: Trading Economics, Pound Sterling Live, MUFG Research, 28 May 2026.

9. DCM — PRIMARY BOND MARKET

9A. YESTERDAY'S ISSUANCES (28 MAY 2026)

ISSUER	SECTOR	SIZE	MATURITY	IPT → PRICING	NOTE
Airbus SE	Aerospace / IG	n/a	n/a	n/a	First bond issuance in nearly 6 years; strong order book signal
Carlsberg Breweries	Consumer / IG	n/a	n/a	n/a	Part of record EUR primary month
Novartis AG	Pharma / IG	n/a	n/a	n/a	Part of record EUR primary month
Additional issuers (×31)	Mixed (IG/SSA)	n/a	n/a	n/a	34 total issuers in May; 43 tranches; ~€31bn total volume

Note: Specific deal sizes, maturities and IPT data unavailable from public sources at report time. Sources: HSBC DCM commentary, Athens Times.

9B. PIPELINE / EXPECTED TODAY AND THIS WEEK

Month-end issuance window expected to slow today (Friday, last day of May). Supply calendar typically lightens into the holiday weekend. However, if Iran ceasefire is confirmed, a burst of opportunistic issuance from energy, industrials and financials is possible next week as spreads hold tight.

European IG pipeline remains deep; Airbus re-entry may encourage other aerospace and defence names (Thales, Leonardo, Safran) to test the market.

9C. KEY SPREADS

INDEX	LEVEL	DIRECTION	COMMENT
iTraxx Main (EUR IG 5Y)	n/a	Tightening	At lowest since 17 April 2026 — spreads well inside recent range
iTraxx Crossover (EUR HY 5Y)	n/a	Tightening	Near 2-month low; HY appetite robust
CDX IG (US IG 5Y)	n/a	Tightening	Following European move; US records supportive
Avg EUR corp IG spread	n/a	Near historic lows	Per HSBC: "spreads near historic lows given current rate environment"

Note: Specific spread levels (bps) unavailable at report time. Direction and qualitative assessment sourced from HSBC DCM / Cbonds.

9D. DCM COMMENTARY

May 2026 is shaping up as one of the busiest and most constructive months for European primary issuance in recent years. The window is firmly open: iTraxx Main has recovered from April volatility to multi-week tights, and investor demand is absorbing supply without material concessions.

Airbus's return to public markets after nearly six years is the symbolic deal of the month — its absence since 2020 reflected the pandemic disruption; its return signals balance sheet confidence and a strong order backlog narrative. Corporate IG from industrials, consumer, and pharma is leading volume.

Funding conditions remain supportive but carry Iran-headline risk. A ceasefire collapse would push energy costs back up, widen spreads, and likely shut the window into mid-June. Issuers are advised to front-load while conditions hold.

10. ECONOMIC CALENDAR — 29 MAY 2026

96 events scheduled globally. Key releases below. All times London (BST).

TIME (BST)	INDICATOR	REGION	CONSENSUS	IMPORTANCE
07:00	German Retail Sales (Apr)	DE	n/a	MEDIUM
08:00	Spanish CPI Flash (May)	ES	n/a	HIGH
09:00	Eurozone Flash HICP (May) — estimate	EA	n/a	HIGH
09:00	Eurozone Unemployment Rate (Apr)	EA	n/a	MEDIUM
09:30	UK M4 Money Supply (Apr)	UK	n/a	MEDIUM
13:30	US Personal Income / Spending (Apr)	US	n/a	HIGH
13:30	US PCE Price Index (Apr) — monthly	US	n/a	HIGH
14:45	Chicago PMI (May)	US	n/a	MEDIUM
15:00	Univ. of Michigan Consumer Sentiment Final (May)	US	n/a	HIGH

Watch: Eurozone flash HICP for May is the most significant European release — ECB watchers will look for any signs of energy-driven inflation picking back up. US PCE monthly (Apr) is the second key print after yesterday's hot Q1 reading. UMich sentiment final will reveal whether consumers are pricing in ceasefire relief or remaining cautious on inflation.

Source: Trading Economics, US BEA release schedule, Eurostat release calendar.

11. CORPORATE EVENTS & EARNINGS — 29 MAY 2026

COMPANY	EVENT	REGION	KEY WATCH
TotalEnergies	Annual General Meeting 2026	FR / Europe	Energy transition strategy vote; shareholder activism possible on capex allocation
Multiple US names (×19)	Earnings releases	US	End-of-month Q1 stragglers; see Stocks to Watch section for key names
Costco (COST)	Quarterly earnings (if reporting today)	US	Membership trends, traffic data, tariff/price-pass-through signals
European calendar	Light following busy Q1 season	EU	Focus on macro releases; no major EU earnings expected

Source: MarketScreener, Yahoo Finance earnings calendar, 29 May 2026.

12. STOCKS TO WATCH — 29 MAY 2026

COMPANY / TICKER	SECTOR	CATALYST	DIRECTION
TotalEnergies (TTE FP)	Energy	AGM today; shareholder vote on energy transition strategy and capex. Possible activist pressure.	Neutral / watch
Airbus (AIR FP)	Aerospace & Defence	First public bond in ~6 years priced this week; positive signal for balance sheet and order-book confidence. Futures pointing lower may drag stock.	Positive bias
Northrop Grumman (NOC)	Aerospace & Defence	Morningstar raised fair value estimate to \$640 (from \$630). Exposed to early-lifecycle defence programmes. Defence sector described as set to "defend portfolios."	Positive
Nvidia (NVDA)	Semiconductors / Tech	Leading US tech rally; semiconductors drove S&P and Nasdaq records. Key driver of broader risk appetite.	Positive
Broadcom (AVGO)	Semiconductors / Tech	Alongside NVDA, driving AI-infrastructure spend narrative. Any pullback in tech sentiment would hit AVGO.	Positive
Brent-exposed integrated oils (BP, Shell)	Energy	Brent at \$96.57 (+2.4%). Iran ceasefire confirmation would push oil lower; collapse would push higher. Binary outcome today.	Binary / watch Iran headlines
Tanker/shipping names (Frontline, EURONAV)	Shipping	Strait of Hormuz disruption has materially lifted tanker rates. Ceasefire deal = tanker rate compression risk. Watch closely.	Negative if ceasefire confirmed
Copper miners (Antofagasta, Glencore)	Metals & Mining	Copper +1.28% yesterday, +37.7% YoY. AI and electrification demand driving structural re-rating. Month-end flows could be volatile.	Positive medium-term

13. MACRO / CORPORATE / POLITICAL HIGHLIGHTS

MACRO

US PCE at 4.5% Q1 2026 (core 4.3%) — highest reading in nearly three years. Released simultaneously with GDP 2nd estimate of 2.0% annualised, below 2.3% consensus. Stagflationary combination keeps Fed on hold.

Fed in holding pattern; new chair process underway. Powell's term expired 15 May. NY Fed Williams reaffirmed data-dependence; no cut imminent. Political uncertainty around new chair appointment adds latent volatility to rate markets.

ECB extended pause; BoE on quarterly cut path. ECB has entered a prolonged pause given residual European energy inflation. BoE expected to deliver quarterly cuts back to 3% by Q3 2026 — GBP may remain under mild pressure against EUR.

Eurozone flash CPI (May) releases today. Energy pass-through from TTF's +48% YoY move will be closely watched. A higher-than-expected print would push out ECB cut expectations further.

CORPORATE

Airbus returns to public bond markets after 6 years. First issuance since early pandemic era. Balance sheet confidence, strong Airbus order book (~8,600 aircraft backlog), and tight spreads all contributed. Aerospace sector DCM window now open.

May 2026 sets European corporate bond issuance record. 34 issuers, 43 tranches, ~€31bn. iTraxx Main at lowest since 17 April. Demand described as robust with strong oversubscription on deals. Window may narrow heading into summer.

US equities at all-time highs. S&P 500 above 7,500 and Nasdaq above 26,900. Tech-AI narrative is the dominant driver. Valuation stretch is the principal risk if inflation stays elevated.

POLITICAL / GEOPOLITICAL

Iran war — third month. US-Iran conflict began end of February 2026. Strait of Hormuz traffic effectively closed; oil above \$96, European TTF gas +48% since conflict began. Energy sector YTD leader (+40%).

Ceasefire extension deal tentatively agreed — pending Trump approval. Axios reported mid-session on 28 May. 60-day extension with gradual Hormuz reopening and nuclear talks. Trump's three red lines remain non-negotiable. Confirmation would be the single largest positive catalyst for global markets; rejection would restart the energy shock.

Fresh US strikes on Iranian military site reported overnight. Adds uncertainty to ceasefire narrative. Silver and tanker stocks the most sensitive to this headline.

US midterm elections approaching. Adding to political complexity around Fed chair appointment and fiscal direction. Markets will begin pricing midterm risk into US assets in Q3.

14. KEY THEMES — TOP 5 BY HORIZON

TODAY'S TOP 5

1. Iran ceasefire confirmation

Trump has not yet approved the tentative 60-day deal; any confirmation or rejection will trigger a sharp move in oil, energy stocks, tankers and risk broadly.

2. Eurozone flash CPI May

First look at May inflation across the eurozone; TTF and energy pass-through is the upside risk; outcome shapes near-term ECB expectations.

3. US PCE monthly (Apr) + UMich

Second macro data point after yesterday's hot Q1 PCE; UMich sentiment will reveal whether consumers are adjusting inflation expectations upward.

4. Month-end rebalancing flows

Last trading day of May; pension and fund rebalancing flows can amplify moves in either direction, particularly in EUR and equities.

5. TotalEnergies AGM

Shareholder vote on energy transition strategy; activist pressure on oil-major capex allocation could trigger sector commentary and potential re-rating.

THIS WEEK'S TOP 5

1. US PCE at 4.5%

Resets rate cut expectations materially; Fed is on hold; bond markets repricing duration risk into next FOMC.

2. S&P at all-time high 7,563

Tech and AI narrative defying macro headwinds; market is pricing in Iran de-escalation and continued earnings growth.

3. Iran ceasefire negotiation

Dominant market mover; Brent above \$96 and TTF +48% since conflict shows the stakes; resolution or escalation reshapes the macro backdrop.

4. European record bond issuance

€31bn+ in May; iTraxx at multi-week tights; corporate funding costs historically low; window durability into June is the structural watch.

5. Asian dispersion — HK vs China

Hang Seng -1.38% vs CSI 300 +0.12% reflects divergence; China mainland insulated, HK exposed to global risk-off and Iran.

THIS MONTH'S TOP 5

1. Iran conflict resolution / escalation

The defining macro risk of 2026; every commodity, shipping, and energy trade is contingent on Strait of Hormuz status.

2. New Fed chair appointment

Powell's term ended 15 May; political uncertainty over the new chair's inflation tolerance is a latent risk to the rate outlook and dollar.

3. ECB extended pause path

No cuts expected through H1 2026; today's CPI and trajectory of European energy prices will shape the cut timing debate into autumn.

4. Copper structural re-rating

+37.7% YoY; AI infrastructure, electrification and clean energy demand converging; mining equity premium sustained.

5. European summer funding window

Issuers racing to lock in tight spreads before August close; Airbus return signals others may follow; window durability is the credit market question.

15. KEY TRENDS TO WATCH

1 DAY

Iran headline binary: Any White House comment on ceasefire deal will move oil $\pm 3\text{--}5\%$, tankers, energy equities, and safe havens in real time. Stay alert to weekend risk.

Eurozone flash CPI (09:00 BST): A reading above expectations (+ve energy pass-through) would push Bund yields higher and widen EUR rate spreads to periphery.

Month-end rebalancing: Pension funds rebalancing after a strong equity month may sell equities and buy bonds, amplifying moves. Watch EUR/USD and equity indices into the close.

1 WEEK

Iran negotiations over the weekend: Any G7 or White House statement over the next 48 hours will set the tone for Monday's open.

Fed chair appointment process: Congressional hearings or leaks regarding shortlist candidates for the new Fed chair will reprice rate volatility.

European DCM window into June: Supply calendar for the first week of June will reveal whether the May momentum continues or if issuers pause for summer.

US Employment Situation (6 Jun): The next major US macro catalyst; will validate or contradict the stagflation concern from this week's PCE print.

1 MONTH

Iran Strait of Hormuz reopening timeline: The 60-day ceasefire extension (if confirmed) would put Hormuz reopening squarely in July; tanker rates, European gas and oil prices all contingent.

Next FOMC meeting (June): After two hot PCE prints, Fed is expected to hold. How the new chair (if confirmed) signals policy will be scrutinised.

ECB June meeting: Extended pause expected; June CPI forecasts will determine whether a September cut is viable.

European summer issuance window closure: Historically, the DCM window closes by mid-July. With spreads at multi-week tights and demand strong, June is the final opportunity for large benchmark issuances.

Sources: CNBC (European & Asian markets, 28 May 2026) | TheStreet (Stock Market Today, 28 May 2026) | Babypips (Financial & Forex Market Recap, 28 May 2026) | BEA (GDP 2nd Estimate Q1 2026; Personal Income and Outlays) | Trading Economics (commodities, yields, FX, indices) | Fortune (Gold price, 28 May 2026) | Pound Sterling Live (GBP/USD history 2026) | MUFG Research (Monthly FX Outlook, May 2026) | Athens Times / HSBC DCM (European bond market commentary, May 2026) | Cbonds (iTraxx indices) | AGA (Natural Gas Market Indicators, 28 May 2026) | Carbon Credits (Copper prices, 28 May 2026) | Equityclock (Stock Market Outlook 29 May 2026) | MarketScreener (Earnings calendar 29 May 2026) | EY Geostrategic Analysis (May 2026) | Euronews (Iran war market impact, May 2026) | Blackrock Investment Institute (Weekly commentary) | iShares / RBC CM (Fed/macro outlook 2026)

Data collected automatically from public sources. Cross-reference all figures before making any trading or investment decision. This report is not financial advice.